

1. MARKET STRUCTURE & EXCHANGES

- **Stock Market:** A regulated electronic platform facilitating transparent issuance and secondary trading of company equity securities.
- **Primary vs. Secondary:** **Primary:** Companies issue fresh equity to raise capital (IPO). **Secondary:** Existing shares trade among market participants.
- **NSE & BSE:** **NSE (1992):** India's premier exchange by traded turnover and derivatives volume. **BSE (1875):** Asia's oldest securities exchange.
- **Nifty 50 & Sensex:** **Nifty 50:** NSE's diversified 50-stock benchmark weighted by free-float market cap. **Sensex:** BSE's 30-stock benchmark tracking leading industry pillars.

2. CAPITAL RAISING & CLASSIFICATIONS

- **IPO (Initial Public Offering):** First public sale of shares by an unlisted company to list on mainboard stock exchanges.
- **SME IPO Platform:** Dedicated exchange segment (NSE Emerge / BSE SME) governed by Chapter IX of SEBI ICDR Regulations for emerging enterprises, featuring customized eligibility criteria, minimum application lot sizes, and mandatory market-making obligations.
- **Market Capitalization:** Aggregate equity valuation: $Shares\ Outstanding \times Current\ Market\ Price$.
- **SEBI Market Cap Tiers:** **Large-Cap:** 1st to 100th company. **Mid-Cap:** 101st to 250th company. **Small-Cap:** 251st company onwards.

3. CORPORATE ACTIONS & MARKET DYNAMICS

- **Dividend:** A distribution of a company's profits to shareholders, generally declared by the Board and, where applicable, approved by shareholders, expressed on a per-share basis.
- **Bonus Shares:** Additional shares issued free of cost to existing equity shareholders in a specified ratio through capitalization of free reserves.
- **Stock Split:** Subdivision of existing share face value (e.g., from Rs. 10 to Rs. 2) to enhance liquidity without changing total market cap.
- **Trading Volume & Depth:** Total shares transacted in a trading period; reflects liquidity, price discovery efficiency, and bid-ask spread tightness.

4. CORE FINANCIAL STATEMENTS

- **Balance Sheet:** Point-in-time snapshot of financial position governed by the fundamental accounting equation: $Total\ Assets = Total\ Liabilities + Equity$.
- **Profit & Loss (P&L):** Summary of operating performance over a period: $Revenue - Operating\ Costs - Depreciation - Interest - Tax = Net\ Profit\ (PAT)$.
- **Cash Flow Statement:** Tracks liquidity movements across three activities: **Operating (CFO)**, **Investing (CFI)**, and **Financing (CFF)**.

5. VALUATION & PROFITABILITY RATIOS

- **Earnings Per Share (EPS):** **Formula:** $(Net\ Profit - Preferred\ Dividends) / Total\ Outstanding\ Shares$. Measures per-share profitability.
- **P/E Ratio (Price-to-Earnings):** **Formula:** $Market\ Share\ Price / EPS$. Reflects the valuation multiple market pays for each unit of net earnings.
- **P/B Ratio (Price-to-Book):** **Formula:** $Market\ Price\ per\ Share / Book\ Value\ per\ Share$. Compares equity market price against net balance sheet assets.
- **Return on Equity (ROE):** **Formula:** $Net\ Profit / Shareholders'\ Equity \times 100$. Evaluates management's efficiency in generating returns on equity.
- **Return on Capital Employed (ROCE):** **Formula:** $EBIT / Capital\ Employed \times 100$. Assesses operating profitability relative to all enterprise capital employed.

6. LIQUIDITY & SOLVENCY RATIOS

- **Current Ratio:** **Formula:** $Current\ Assets / Current\ Liabilities$. Gauges short-term solvency and working capital adequacy.
- **Debt-to-Equity (D/E):** **Formula:** $Total\ Borrowings / Total\ Shareholders'\ Equity$. Evaluates long-term leverage and financial solvency risk.
- **Operating Profit Margin (OPM):** **Formula:** $Operating\ Profit\ (EBIT) / Total\ Revenue \times 100$. Core operational efficiency indicator.

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